

CENTRAL BANK OF BOSNIA AND HERZEGOVINA



ANNUAL REPORT
2001

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According to Article 64. of the Law on the Central Bank of Bosnia and Herzegovina ("Official Gazette of Bosnia and Herzegovina", No: 12/97), it is the commitment of the Central Bank of BiH to submit, within three months after the end of its financial year, to the Parliamentary Assembly of Bosnia and Herzegovina three documents as it follows:

- financial statement certified by its auditors,*
- report on its operations during the year, and*
- report on the condition of the economy.*

In accordance with the mentioned Article, the Annual Report of the Central Bank of Bosnia and Herzegovina for 2001 is prepared, including these reports.

The Annual Report of the Central Bank of Bosnia and Herzegovina for 2001 was discussed and adopted at 7. meeting of the Governing Board of the Central Bank of Bosnia and Herzegovina, held in Sarajevo on 27 March 2002.

Governing Board Chairman



Peter Nicholl, Governor

Summary by the Governor of the Central Bank of BiH

The Central Bank of Bosnia and Herzegovina is a state institution with the responsibility for the independent implementation of monetary policy. Monetary policy in BH is conducted by way of a Currency Board arrangement. Since the CBBH commenced its operations in 1997, the BH currency, the convertible mark (KM), has been tied to the Deutschemark at an exchange rate of one to one. As from 1 January, 2002, the KM is tied to the Euro at an Exchange rate of 1 Euro equals 1.955830 KM. This is the same exchange rate at which the DEM was tied to the Euro. This was done in order to ensure that the citizens of BH and potential foreign investors in BH could continue to have absolute confidence in the stability of the KM against its anchor currency.

During 2001, The Currency Board requirements of full convertibility and full foreign exchange coverage for the CBBH's KM liabilities were met at all times. The CBBH balance sheet continued to gain in strength during 2001 as the 'free foreign exchange reserves' (i.e.) those that are above the level needed to cover all the KM liabilities) increased from KM 48 million at the beginning of the year to KM 75 million at the end of 2001. As a consequence of the soundness of the Currency Board, confidence in the stability of the KM remained high during 2001 and inflation in BH remained low.

The use of the KM continued to grow steadily throughout the first nine months of the year and then increased very rapidly in the last quarter when the DEM conversion flows reached their peak. In the last three months of 2001, KM in circulation rose by KM 920 million, or 104 %. Coincidentally, citizens deposits with commercial banks also grew by 104%. This is a clear sign that citizens have started to trust the banking system with their savings.

The large amounts of DEM converted in BH and the large proportion of DEM that were converted either to KM currency or put on deposit in a BH bank led to an unprecedented growth in the country's official foreign exchange reserves. The CBBH's foreign assets grew from KM 1,021 million at 31 December, 2000 to KM 2,697 million at 31 december, 2001, a growth of 164%. At the end of 2001, the CBBH's foreign reserves represented about five months of import coverage.

Another major task of the CBBH in 2001 was the introduction of the new domestic non-cash payments system. The preparations for the start of the new system were carried out in 2000 and involved cooperation from a large number of institutions. On 5 January, 2001 the payments bureaus ceased their functions in the payments system and non-cash payments started being carried out in commercial banks and cleared through new clearing houses built and operated by the CBBH.

The new payment system has gone very smoothly during its first year of operation. There have been few technical problems and it has been operational 99,9% of the time. There have been no occasions on which settlement did not occur.

During 2001, number of transactions completed in the CBBH clearing houses was 11,916,222 worth KM 16,845 million.

In addition where both parties to a payment bank in the same commercial bank those transactions are cleared and settled within that banks own accounting system.

The reform of the payment system has given Bosnia and Herzegovina a modern non-cash payment system that is similar to the payment systems in most of Europe. However, the payment system in BiH is still heavily dominated by cash payments and payment orders. Alternative forms of payments, such as credit cards and e-banking are beginning to appear and their significance in the Bosnia and Herzegovina payment system will increase and, probably, increase rapidly. The Central Bank of BH will provide support to these new forms of payment by making it possible for such transactions to be cleared and settled through the RTGS system.

The banking sector in BiH continued to improve rapidly during 2001. The reform in the banking sector has gone further and faster than reform in any other sector of the economy. Competition is real, helped by the arrival of some good foreign banks. Proportionately, foreign investment in the banking sector has been higher than in any other sector in BiH.

Confidence is coming back and depositors are beginning to return to banks. Banks are beginning to do more lending and to lend on more reasonable terms. However, interest rates are still relatively high in BiH because the level of risk involved in bank lending is still relatively high. The main factors causing this are the credit culture (too many loans are not repaid), uncertain property rights, an incomplete legal framework, and a lack of confidence in the court system with regard to commercial cases. Further improvements will need to occur in all these areas before BiH interest rates will move to western European levels.

During 2001, the Presidency of BiH approved the design of a KM 200 banknote. The significant element of this decision was that the Presidency agreed that there should be only one version of this bank note. The banknote will be put in circulation latter in 2002.

During 2001, the CBBH operated through its Head office in Sarajevo and five decentralized offices (three main units and 2 branches). The number of employees increased by 51, largely because of an increase in the number of banking customers of the CBBH, a decision to increase security within our offices, and the CBBH's new role in domestic payments system. By the end of 2001, the CBBH had 241 employees.

*Governing
Board*



Mr. Peter W. Nicholl, Governor
Governing Board Chairman

Mr. Kasim Omićević
Governing Board Member

Mr. Manojlo Ćorić
Governing Board Member

Mr. Jure Pelivan
Governing Board Member

*Vice
Governors*



Mr. Kemal Kozarić
Vice Governor

Mr. Ljubiša Vladušić
Vice Governor

Mr. Dragan Kovačević, MA
Vice Governor

INTRODUCTION

The Central Bank of Bosnia and Herzegovina was established in accordance with the Law adopted at the Parliament of Bosnia and Herzegovina on 20 June 1997. The Central Bank started its operation on 11 August 1997. The main objectives and basic tasks of the Central Bank, defined by the Law and in accordance with the General Peace Agreement in Bosnia and Herzegovina are:

- to achieve and maintain the stability of domestic currency (Convertible Mark) by issuing it according to the arrangement known as a Currency Board, i.e. with full coverage in freely convertible foreign exchange funds, under the fixed exchange rate: one Convertible Mark per one Deutsche Mark; Since 1 January 2002, KM is linked to Euro under the exchange rate 1 EUR = 1.955830 KM, i.e. 1 KM= 0.511292 EUR, which was proposed in amendments for modification and supplements of the CBBH Law;
- to define and control the implementation of monetary policy of Bosnia and Herzegovina;
- to hold and manage, in a safe and profitable way, the official foreign exchange reserves;
- to support or to establish and maintain appropriate payment and settlement systems;
- to co-ordinate the activities of the Entity Banking Agencies which are in charge of bank licensing and supervision;
- to receive deposits from institutions at the level of Bosnia and Herzegovina, deposits from Entities and their public institutions according to the joint decision of Entities, as well as deposits from commercial banks;
- to issue rules and guidelines for the implementation of the activities of the Central Bank, within its powers as defined by the Law;
- to take part in international organizations engaged in strengthening financial and economic stability, and to represent Bosnia and Herzegovina in intergovernmental organizations regarding issues of monetary policy.

The senior body of the Central Bank is the Governing Board, which is in charge of establishing and supervision of monetary policy, organization and strategies of the Central Bank, all according to powers given to the Board by the Law. The Governing Board consists of the Governor, who is Chairman of the Governing Board, and three members (two from the Federation of BiH - Bosniak and Croat and one from Republika Srpska - Serb). The Governor is a foreign national, Peter Nicholl. The Governor is also the chief executive in charge of daily operation of the CBBH. There is also the executive Management of the Central Bank consisting of the Governor and three Vice Governors (appointed by the Governor, with approval of the Governing Board). The Management is responsible for the operational management of the CBBH.

The Central Bank operates through its Head Office and three Main Units in Sarajevo, Mostar and Banja Luka (Main Unit Banja Luka also has a Branch at Pale) and Branch of the Central Bank in Brcko District.

This report gives the review of activities and results of the CBBH work in 2001.

*Monetary
Policy*

I IMPLEMENTATION OF MONETARY POLICY

During 2001, monetary policy, as defined in the Law and Strategic Plan of the Central Bank, continued to be successfully implemented and improved. Main results of the policy are the following:

- strict control of Currency Board principles;
- continuous maintenance of the stability of domestic currency-Convertible Mark;
- strict implementation of the Currency Board arrangement, by issuing domestic currency, exclusively with full coverage in freely convertible exchange funds;
- The official foreign exchange reserves held with the Central Bank are managed according to the Governing Board guidelines, so that their investment is carried out taking care about the minimization of the risk and achieving of the higher profit. In the end of 2000, foreign exchange reserves amounted to KM 1,021 million, in the end of September 2001, foreign exchange reserves were around KM 1,235 million and in the end of December 2001 they amounted to KM 2,697 million. This means that in the last quartile of the last year they increased by KM 1,462 million or 118% (which is the result of conversion of DEM and other currencies of Euro area to Euro, and to KM also), and they increased by 164% compared to the year 2000;
- Monetary liabilities represent the liability of the Central Bank for the KM banknotes and coins in circulation and the reserve deposits of the resident banks at the CBBH; Net free reserves, representing the surplus of coverage of monetary liabilities amount to KM 75 million;
- Foreign assets are composed mostly of the deposits with the foreign banks, as it is prescribed by the Article 35. of the Law, the balance sheet also shows the composition of the holding of the currencies differentiating them in EUR and other currencies;
- provision of the full presence of the KM in domestic payment transactions;
- coordinated cooperation of the Central Bank with Banking Agencies, in charge of bank licensing and supervision, as well as establishing standards for bank operations, according to the practice in the developed market countries;
- The payment system implemented - internal payment transactions transferred to commercial banks. The commercial banks have taken over the payment transactions on 5 January 2001. The Central Bank carries out the settlement of internal payment transactions through RTGS system and gyro clearing. The project was assisted by international community. The financial assistance was particularly provided by the USAID;
- The Central Bank of Bosnia and Herzegovina provided banking operations for the Government of Bosnia and Herzegovina and for some other customers;
- It maintains the adequate co-operation concerning the issues within the work scope covered by the Central Bank, with the institutions at the state level - the BiH Presidency, the BiH Council of Ministers and the BiH Parliament as well as the Entity institutions - especially with Ministries of Finance, banking agencies and deposit insurance agencies and relevant international financial institutions, particularly International Monetary Fund.

Central Bank of Bosnia and Herzegovina has performed its objectives and tasks defined by Law and the Strategic aims and it successfully operated, confirming its role and affirmation in Bosnia and Herzegovina and wider.

Upon the request of commercial banks, the Central Bank of Bosnia and Herzegovina performed KM buying and selling, and kept reserve account balances for commercial banks. Jobs of KM buying and selling and the jobs of reserve accounts running for the commercial banks have been done through the Main Units of the CBBH and the CBBH Branch Brčko District.

During 2001, the total of KM 3,759 million was sold, and KM 2,141 million was purchased. With withdrawal of DEM from circulation in order to move to the Euro, in the last quarter of 2001, the KM selling for DEM cash money increased significantly, which significantly influenced the increase of the foreign reserves of CBBH.

Foreign exchange reserves of the Central Bank of BiH in 2001 were managed in accordance with the Guidelines on the CBBH foreign exchange reserves investment, which were defined by the Governing Board, and conclusions of the Investment Committee. Over the last three months of 2001, the CBBH received DM 1,425 million from the commercial banks as a result of the Euro conversion process.

By the end of 2001, official foreign exchange reserves amounted to DEM 2,736 million. This amount includes deposits with foreign banks amounting to KM 1,892 million, foreign currency in cash amounting to KM 805 million**, securities of 26 million KM (according to the international institutions) and SDR holdings in the amount of KM 13 million. Similarly, foreign exchange funds (foreign assets) managed by commercial banks increased by 403 million and amounted to DEM 1,364 million at the end of the year.

** The proportion of reserves held in cash was unusually high at balance date because of the large amounts of DM cash converted in the latter part of December 2001.

Balance of Foreign Assets with banking sector

	in millions KM with one decimal					
	31.12.'97.	31.12.'98.	31.12.'99.	31.12.'00.	30.09.'01.	31.12.'01.
1. Total monetary authorities	499,9	565,9	865,7	1.044,7	1.293,7	2.736,5
1.1. The Central Bank	144,1	283,3	865,7	1.044,7	1.293,7	2.736,5
1.2. Payment Bureaus	355,8	282,6	-	-	-	-
2. Commercial banks	657,8	604,7	848,4	960,6	*1.255,9	*1.363,9
2.1. FBiH	487,7	430,0	766,2	870,1	880,0	870,1
2.2. Republika Srpska	170,1	174,7	82,2	90,5	82,5	132,0
TOTAL FOREIGN ASSETS (1+2)	1.157,7	1.170,6	1.714,1	2.005,3	2.549,6	4.100,4

* Data for the total foreign exchange assets of BH commercial banks comprises the data of banks from Brčko District since July 2001.

During 2001, all the activities of preparing the issuance of the bank note in the denomination of 200 KM were completed. The bank note design was defined by the Governing Board and approved by BiH Presidency. We also made the Draft Amendment for the changes and additions of the Law on the Central Bank of Bosnia and Herzegovina, to formally have the local currency KM linked to Euro. Through the amendments we proposed changes of the range for implementation of the monetary policy which refers to maintaining of the required reserves and giving more flexibility in some operative areas such as operations with the securities. These amendments were supported by BiH Presidency, but were still in the Parliamentary process at the end of 2001.

As for legal aspect, by passing documents on the internal organization of the Central Bank and the documents regulating the basic functions and activities of the Central Bank, it was provided the comprehensive, uniform proceeding within the powers of the CBBH. Adequate regulations were prepared related to the Central Bank operations as well as the cooperation with international financial institutions and BiH institutions.

CBBH took over the remaining accounts of the World Bank and all activities on taking over of the promissory notes issued for membership of BH in the World Bank (IBRD and MIGA). All changes at the accounts of the securities issued by BH towards international financial institutions are book entered in 2001 and they are recorded at the securities. There was regular book entering and reporting per the accounts of the IMF, and the execution of the orders for payment of the accounts for foreign debt servicing, execution of the funds flow at the account for foreign debt servicing, as well as informing of the Ministry for Treasury on all changes at the sub accounts. During 2001, there was regular calculation and allocation of the interest rate and informing per the sub accounts each month and the recording and monitoring of the credit liabilities abroad.

As for the relations with the international financial organizations, new Agreement was signed on foreign debt servicing with new fiscal agent of BH, i.e. Ministry for treasury of BH institutions. All sub accounts and accounts for foreign debt servicing are rebook entered at the Out of balance records according to the recommendation of the authorized auditor, and since 30 September 2001 the account for servicing is run in EURO. We made the currency settlements occurring according to the exchange rate differences at the end of the fiscal year with IMF on 30 April 2001 and with the World Bank on 30 June 2001.

Central Bank foreign exchange management and investment in the previous year, were in accord to the Guidelines on the Investment of the CBBH foreign reserves, delivered by Governing Board and the conclusions and recommendations of the Investment Committee, and all this with the aim of maximizing the income, whilst limiting risk.

At the proposal of the Investment Committee, the Governing Board changed three times the CBBH Guidelines on the investment of the foreign exchange reserves.

Foreign reserves, mostly composed of deposits, are invested with foreign banks with the appropriate rating foreseen by the investment guidelines. By the recommendation of Investment Committee, we established the correspondent relations with the banks meeting the rating foreseen by the Guidelines on investment of the foreign reserves of the CBBH.

Reporting on the foreign reserves investment is provided at all levels. The reports on the balance of the foreign reserves and the adherence to the CBBH guidelines on investment are regularly delivered to the Governing Board members, Governor, Vice Governors, the members of the Investment Committee and the Comptroller General's Office.

In the CBBH in 2001, the computer network was established with the leased lines and back-up commuted lines, which represents the important progress compared to the previous year. We implemented the basis of the accounting software and the internal payments system, and we also partially implemented the accounting banking software. Applications of the reserve account are connected to the RTGS system and we rearranged the official web site of the CBBH. During 2001, we bought and installed the new software and we carried out the usual applications in the accounting in the Main Units, and we also had the exchange of the data between the CBBH organizational parts on the daily basis in accord with the establishment of a new payments system.

Computers' infrastructure of the CBBH is based at the Microsoft tools and the working stations with the Microsoft operative system; the server of the data basis is under the operative system UNIX True 64. Central Bank of BH in 2001 successfully promoted its tasks in the new payments system. The public has been kept informed about the CBBH operations through the regular organization of the press conferences, press releases, answering the questions of the media.

The Central Bank of BH performed the Budget for 2001 in accord with the projections. Annual Account for 2000 was also made as well as reports on the annual account, which were monitored by external auditors and submitted to BiH bodies in charge. During 2001, we signed the agreement with Slovenian firm Aster d.o.o. on introduction of new accounting and banking information system in CBBH, which is being implemented right now.

Section for Public Relations organized a seminar for the journalists in the CBBH. The Seminar was addressing the issues of BH monetary policy, KM linking to Euro, and implication of EURO introduction in European Monetary Union countries for the states of South East Europe. Also during 2001, the contents of the internal newsletter were improved and the appearance of the web site were changed.

Payments System

CBBH took a leading role in establishment of the new payments system in BiH. We established RTGS clearing system (real time gross settlements system) for the settlement of transactions of big values and gyro clearing system for the large volume of transactions of small value. Central Bank of BH runs the Gyro Clearing system through centers located in the CBBH Main Office, Main Units in Mostar and Sarajevo and Main Bank of Republika Srpska of CBBH in Banja Luka.

New payments systems (RTGS and Gyro Clearing) proved to be very efficient and cheap. During 2001, both systems operated smoothly. We introduced a third daily settlement for gyro clearing system starting from 3 December 2001. We contracted jobs related to implementation of the dislocated back up system. The existing systems are improved, new programs are installed, such as "End of day Netting" (the transfer of funds from the transaction account to commercial bank's reserve account at the end of the working day) and the acquisition of 'Firewall' started. We established the co-operation with the Central Register for the securities and we had negotiations with companies VISA NNSS -National Net Settlement Service, Europay and local firms and we considered the possibilities for the CBBH to be the agent in settlement in the card operations.

The transactions made in the period from January 5 to 31 December 2001, through RTGS and gyro clearing system are seen in the following survey:

	No of transactions	Participation in total number of transactions	Value in KM million	Participation in the total value
RTGS	332.622	2,8%	9.701,2	57,6%
Gyro clearing	11.583.600	97,2%	7.143,6	42,4%
UKUPNO	11.916.222	100%	16.844,8	100%

Survey of the participation of the Main Units. i.e. banks inclining to them in the total transactions is given in the following table:

	No of transactions	Participation in total number of transactions	Value in KM million	Participation in the total value
Sarajevo MU	6.485.204	54,4%	9.460,8	56,1%
MB RS Banja Luka	3.876.535	32,5%	4.458,2	26,5%
Mostar MU	1.498.009	12,6%	2.863,4	17,0%
Brčko District Branch	56.474	0,5%	62,4	0,4%
TOTAL	11.916.222	100%	16.844,8	100%

On 31 December 2001 there were 42 banks (without CBBH). Out of the total number of banks being included in the system, 10 banks participate with 63,56% in the total number of RTGS and gyro clearing transactions and 59,69% of value.

Banking Sector

In 2001, the CBBH took over the activities in the coordination of the work with the banking agencies, follow up of the situation in the banking sector and it had the coordinating role in the activities of the banking supervision.

The coordinating role of the Central Bank of BH with the Banking supervision agencies was directed towards the activities on Agencies operations, issuing of the banking licenses, compatibility of the legal regulations, following of the situation and restructuring of the total banking system, banks privatization, trends in financial institutions of BH and activities and the central Bank issues and issues of the banking agencies in new payments system.

The III International conference on banking sector was held, which addressed certain issues in order to further improve the overall banking sector. It was stated at the conference that the most successful reforms in BiH have been achieved in monetary and banking sector, but that the successful transformation in this area is not followed by changes in other sectors. Special importance for the banking sector development has been the arrival of the foreign banks in BH. The announcement of the arrival of foreign banks is a good sign for strengthening of the banking sector in BH. In this respect, the continuance of the privatization process and the merging of banks, as well as strengthening of the banks supervision and introduction of the agencies for the banking supervision under the CBBH umbrella are also important.

The main changes that have brought the improvement in the BiH banking sector about include:

- Payments system reform,
- Increases in minimum capital requirements,
- Legal changes that made it possible for a bank registered in one entity to operate branches in the other entity,
- A number of foreign banks commenced operations in BiH in the last two years. Increased foreign competition has already been very good for the BiH economy.

It has given depositors more choice and it has forced the local banks to improve the range and quality of the services they provide in order to survive,

- A limited deposit insurance scheme has started which covers deposits in approved banks up to KM 5,000. At the end of 2001 it covered 7 banks.

As a consequence of all these changes, there has been considerable consolidation in the banking sector. The number of banks has been reduced quite sharply, particularly in the Federation. As of 31 December 2001, there were a total of 49 banks and one postal savings bank operating in BiH. There were 21 banks with majority foreign capital, 16 banks with majority local private capital, and 12 banks with majority state capital. But most banking business is increasingly being carried out by around 15-20 banks so that the degree of consolidation that has already occurred is much greater than is shown by the number of banks still operating.

While the primary responsibility in the banking supervision area lies with the Entity Banking Agencies, the CBBH continued to carry out an important co-ordinating role in this area during 2001. There continued to be very good co-operation between the CBBH and Banking Agencies. In 2001, a Working Group was established consisting of the Governor of the CBBH, the Entity Ministers of Finance and the Directors of the Entity Banking Agencies to discuss how banking supervision in BiH can be brought more under the 'umbrella' of the CBBH. This Group will continue its work in 2002.

The total assets of BH commercial banks amount to 5,378 KM million.

In the structure of the total assets 75% takes the local assets, and the remaining 25% is the foreign assets. The same ratio is in the liability structure, 75% local currency liabilities and 25% foreign currency liabilities.

Euro Changeover

The Euro changeover went very smoothly in BiH despite the very large quantities of currency that have been handled by the commercial banks and the CBBH. Since 1998, when the first KM banknotes were put into circulation, a total of around DM 6 billion DM banknotes and coins have been sent back to Germany from BiH. During 2001 and the first two months of 2002, almost DM 4 billion of DM banknotes were converted in BiH. Most of this occurred in the five months from October 2001 to February 2002. They were converted in approximately equal proportions into KM currency, bank deposits in BiH banks and into Euro currency.

As a consequence, in the last three months of 2001, KM in circulation rose by KM 920 million or 104%. Coincidentally, citizens bank deposits in BiH also grew by 104 % in the last three months of 2001. This is a clear sign that citizens have started to trust the banking system with their savings. The large amounts of DM converted in BiH and the large proportion of them that have been converted to KM currency or put on deposit in a BiH bank led to an unprecedented growth in the country's official foreign exchange reserves. These reserves were KM 1,235 million at 30 September 2001. By 31 December 2001 they were KM 2,697 million, a growth of 118% in three months. The foreign reserves now represent around five months of import cover.

Control

II CONTROL FUNCTION

Intern control performed the controlling function in accord with the Law. It improved the normative regulations on which basis it will strengthen the controlling function, specially the control of Currency Board, control of foreign reserve management, control of the required reserves etc.

The comptrollers carried out the control of the implementation of the monetary policy of BH through issuing of KM with the full coverage by free convertible foreign currencies and the maintaining of the Currency Board rule - and the identification of risks and its removal as the main aim of CBBH. All this they controlled through daily follow up of the reports on:

- KM buying - selling at the CBBH level and per the organizational units;
- continuous monitoring of the foreign reserves and the Guidelines on investment of the foreign reserves with the special stress to the amount of the cash of the foreign reserves;
- continuous monitoring of the net free reserves of the CBBH;
- Monthly audit and the authorization of the monetary assets and monetary liabilities and currency board which are published in the public media;
- Follow up of the effects and realization of the calculation of required reserves.

Beside the a. m. jobs, the comptrollers have the activities according to the conclusions of the Governing Board and the extraordinary jobs and tasks.

We made the control of the account transfer from the payments bureau to commercial banks and the CBBH, and the control of KM cash in the separate vaults with which the CBBH had contracted the Agents agreements on Storage and distribution of the KM.

There was carried out the audit of the Personnel section and the implementation of the Central Bank Regulations Book, Regulations Book on the General Conditions for Engagement of the employees, agents and correspondents of the CBBH, Regulations Book on the Organization and Systematization of the Working Posts in CBBH and the Regulations Book on salary scales, wages and other personal earnings and the allowances to the staff members of CBBH.

There was the audit of non-monetary assets and the financial accounts of the CBBH for nine months of 2001, on which the detailed report was prepared with the short extract of the Report.

During the year, there were two auditing visits to the organizational units of the CBBH in Banja Luka with Pale Branch, in Sarajevo and one visit to Mostar and Brčko.

During the year, the comptrollers were giving certain opinions on individual papers, they were giving the initiatives and they took active part in the sessions of the Governing Board and the Management Committee of the CBBH, as well as in the extended meetings scheduled by the Governor.

Per the order of Governor there was carried out the audit of certain activities in relation to the conclusion and realization of the investments in CBBH, and specially the investments for treasury.

III ORGANIZATION OF THE CENTRAL BANK

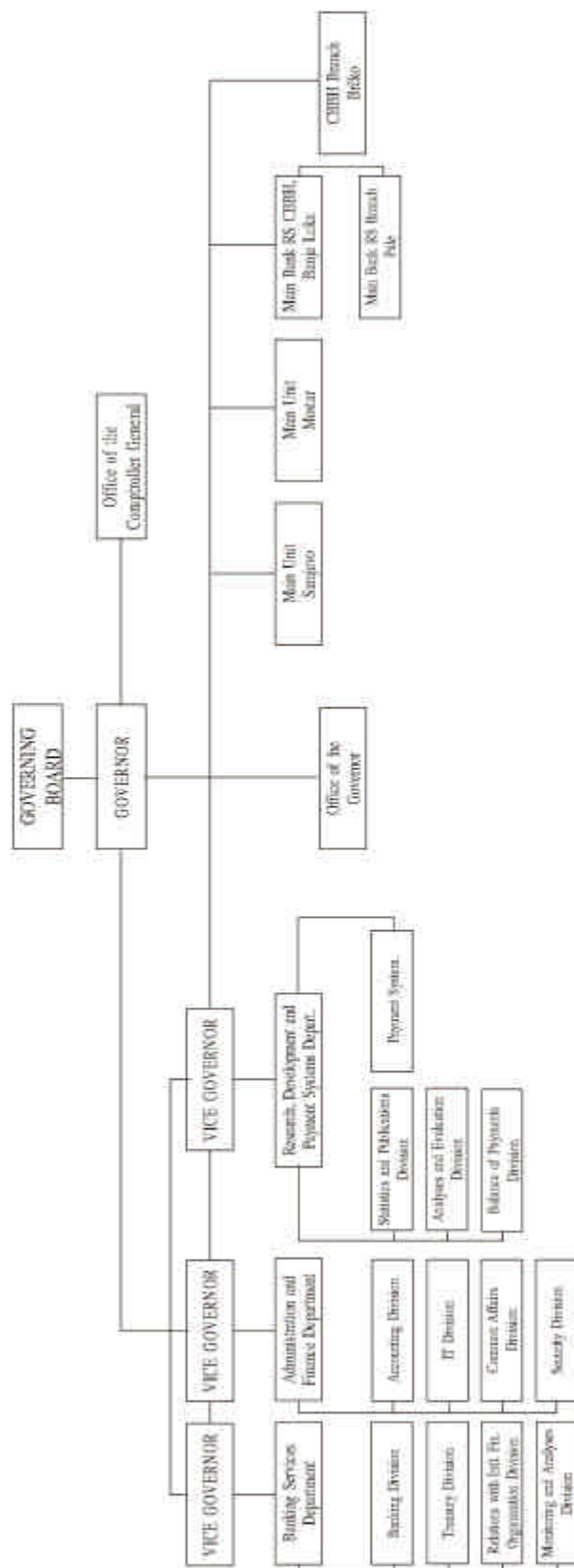
Organizational structure of the Central Bank ensures successful carrying out of all its activities as set under the Law on the CBBH.

The chief body of the Central Bank is the Governing Board. During 2001 the Governing Board met 18 times. Those sessions addressed the important issues related to the realization of basic tasks and objectives of the Central Bank of BiH set by Law.

The Management is responsible for operational management of everyday operations and realization of tasks and objectives set by the Law on the CBBH and Strategic Plan, as well as of the Decisions of the Governing Board. During 2001, the Management Committee met 48 times.

During 2001, 51 new person was employed while 4 employees quited, so the Central Bank currently has 241 employees. During 2001, the Central Bank staff underwent regular professional training and capacity building.

Organizational structure of the Central Bank is illustrated by the following graph:



IV MONETARY TRENDS

Monetary trends cover changes in money supply, foreign currency assets and liabilities, credits, bank capital and other items (net).

1. Money Supply

As of 31 December 2001, the broad money (M2) was KM 4,669 million and in comparison to the positions as of 31 December 2000 it increased by KM 2,202 million or 89,3%. The high rate of money supply increase in 2001 was affected by the withdrawal of Deutsche Mark from circulation. The increased purchase of KM and depositing of Deutsche Marks in foreign exchange accounts with commercial banks was particularly prominent in the last quarter of 2001.

In the money supply structure, narrow money (M1) is 57,7% and quasi money (QM) is 42,3%.

The money supply structure at the end of December 2000 and by quarters during 2001 is presented in the table below:

in millions KM

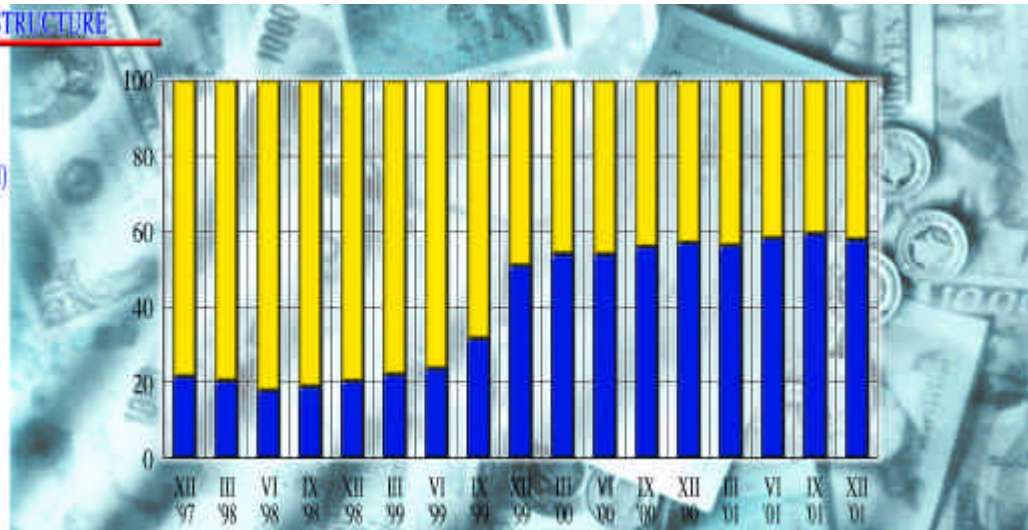
	31.12.'00.		31.03.'01.		30.06.'01.		30.09.'01.		31.12.'01.	
	amount	%	amount	%	amount	%	amount	%	amount	%
MONEY SUPPLY (M2)	2.467	100	2.551	100	2.698	100	2.980	100	4.669	100
1. Money (M1)	1.402	56,9	1.432	56,1	1.570	58,2	1.766	59,2	2.692	57,7
a) Cash outside banks	652	26,4	655	25,6	688	25,6	788	26,4	1.674	35,9
b) Demand deposits	750	30,5	777	30,5	882	32,6	978	32,8	1.018	21,8
2. Quasi money (QM)	1.065	43,1	1.119	43,9	1.128	41,8	1.214	40,8	1.977	42,3
a) Time and savings deposits in domestic currency	78	3,1	83	3,2	89	3,3	98	3,3	141	3,0
b) Total deposits in foreign currency	987	40,0	1.036	40,6	1.039	38,5	1.116	37,5	1.836	39,3
- households	430	17,4	430	16,9	464	17,2	549	18,5	1.265	27,1
- other	557	22,6	606	23,7	575	21,3	567	19,0	571	12,2

Narrow money (M1) covers cash outside monetary authorities and commercial banks and sight deposits in domestic currency and was KM 2,692 million as of 31 December 2001. When compared to the positions at the end of 2000, it increased by KM 1,290 million or 92,0%. Sight deposits in domestic currency increased by KM 268 million or 35,7%, and cash outside banks increased by KM 1,022 million or 156,7%.

MONEY SUPPLY STRUCTURE

in %

Quasi money (QM)
Money (M1)



Quasi money (QM) amounted to KM 1,977 million and it increased by KM 912 million or 85,6% compared to the positions recorded in the end of previous year. Time and savings deposits in domestic currency were KM 141 million and they increased by KM 63 million or 80,8%. Sight deposits in foreign currency were KM 929 million and increased by KM 370 million or 66,2% as compared to the positions recorded in the end of the previous year. Time and saving deposits in foreign currency were KM 907 million and increased by KM 479 million or 111,9% compared to the positions recorded in the end of the previous year.

MONETARY AGGREGATES

in millions KM

M2
QM
M1
M0



We can conclude that 2001 was characteristic of the considerable increase of money supply measured by monetary aggregate M2, both due to the increase of monetary aggregate M1 components and due to the increase of quasi money components. M1 and QM monetary aggregates trends were conditioned by the trends of monetary base (currency in circulation and deposits with the Central Bank) and its multiplication in the banking sector.

Net foreign exchange reserves represent a balance between foreign exchange assets (cash and investments in foreign currency) and foreign exchange liabilities (commitments towards non-residents). In accordance with the Currency Board arrangement, net foreign exchange reserves are used for the backing of the monetary liabilities of the Central Bank of Bosnia and Herzegovina.

On 31.12.2001, net foreign exchange reserves amounted to KM 2,667 million, which represents an increase of KM 1,646 million (161,2%) compared to the positions as of 31.12.2000. The increase of net foreign exchange reserves directly influenced the growth of KM money supply in circulation and the strengthening of monetary base.

Net free foreign exchange reserves, representing a balance between net foreign exchange assets and monetary liabilities, increased by KM 27 million or 56,3% compared to the positions as of 31.12.2000. At the end of 2001, they amounted to KM 75 million. Such high growth rate of net free foreign exchange reserves resulted from a good management of the Central Bank of BiH foreign exchange reserves and the CBBH's control of its own expenditure.

The trends of net foreign exchange reserves and monetary base are tabled below:

millions KM	Net Foreign reserves					Monetary liabilities			Net free reserves (coverage surplus)
	Assets			Liabilities		Currency in circulation	Credit balance of residents		
	Foreign currency cash	Investments		Liabilities to nonresidents					
Column	1	2	3=1+2	4	5=3-4	6	7	8=6+7	
year/month									
1997/09	6	122	128	0	128	91	37	128	0
1999/03	11	298	309	0	309	177	103	280	29
1999/06	31	317	348	0	348	208	111	319	29
1999/09	37	381	418	0	418	264	124	388	30
1999/12	84	782	866	0	866	539	298	837	29
2000/03	27	829	856	0	856	531	292	823	33
2000/06	22	858	880	0	880	561	283	844	36
2000/09	26	916	942	0	942	580	320	900	42
2000/12	38	983	1.021	0	1.021	696	277	973	48
2001/03	36	1.003	1.039	0	1.039	731	252	983	56
2001/06	36	1.073	1.109	0	1.109	775	271	1.046	63
2001/09	63	1.172	1.235	0	1.235	886	280	1.166	69
2001/12	805	1.892	2.697	30	2.667	1.806	786	2.592	75

2. Required reserves

The Central Bank of Bosnia and Herzegovina performs the settlement of required reserves in accordance with the CBBH Law and the decision, which regulated that required reserves should be maintained by holding cash or money deposits with the Central Bank through its head office or main units and should be processed as average daily reserves in a ten-day period.

In 2001, the average funds for required reserve maintenance (balance of banks' reserve accounts and cash balance) amounted to KM 340 million, which is higher by 46,4% compared to the total funds for the required reserve maintenance in 2000. The increase of the total funds for maintaining required reserves was influenced by the increase of cash in the vaults with commercial banks, which in 2001 recorded a 253,7% increase. In 2001, bank cash took 28,8% of the total funds for required reserve maintenance (it took 11,9% in 2000).

The trends of the defined required reserve and the total average funds for required maintenance during 2001 are shown in the following graph:



In 2001, the Central Bank paid to banks the compensation at the market rate, in the amount of KM 1,997,506.30 for the amount of their required reserves exceeding the equivalent of five percents of the total amount of their particular liabilities.

The obligation of maintaining required reserves was not met by eight banks in 2001, in more non-consecutive periods. There was no need to initiate the procedure of closing down these banks. These banks were calculated a penalty interest in the amount of KM 1,071,888.86.

3. Balance sheet of commercial banks as of 31 December 2001

in millions of KM

Ref. No.	DESCRIPTION	Federation BiH	Republika Srpska	TOTAL BiH*
DOMESTIC ASSETS-TOTAL		3.132,6	859,1	4.013,8
1.	Reserves	792,4	77,6	871,9
2.	Claims on general government	29,2	3,7	32,9
3.	Claims on non-financial enterprises	1.633,5	751,0	2.404,7
4.	Claims on citizens	677,5	26,8	704,3
FOREIGN ASSETS-TOTAL		1.230,9	132,0	1.363,9
Short-term foreign assets		1.212,4	131,0	1.344,4
1.	Foreign currency in banks vaults	265,4	52,4	318,4
2.	Claims on non-resident banks	213,1	66,6	280,1
3.	Claims on non-resident non-banking institutions	639,4	5,2	644,6
4.	Other	94,5	6,8	101,3
Long-term foreign assets		18,5	1,0	19,5
1.	Claims on non-resident banks	0,3	-	0,3
2.	Securities in foreign means of payment	9,5	-	9,5
3.	Other	8,7	1,0	9,7
TOTAL ASSETS		4.363,5	991,1	5.377,7

* data on commercial banks in Brčko District are included

in millions of KM

Ref. No.	DESCRIPTION	Federation BiH	Republika Srpska	TOTAL BiH*
DOMESTIC LIABILITIES-TOTAL		3.408,7	638,3	4.051,3
1.	Deposits of general government	236,2	40,8	277,5
2.	Sight deposits in domestic currency	825,3	189,0	1.016,2
3.	Sight deposits in foreign currency	830,7	96,6	928,5
4.	Time and savings deposits in domestic currency	125,6	15,2	140,9
5.	Time and savings deposits in foreign currency	859,4	47,7	907,4
6.	Bonds	-	-	-
7.	Capital accounts	763,7	347,2	1.113,1
8.	Other items	-232,2	-98,2	-332,3
FOREIGN LIABILITIES-TOTAL		954,8	352,8	1.326,4
Short-term foreign liabilities		206,1	72,3	278,4
1.	Commitments towards non-resident banks	6,9	33,8	40,8
2.	Commitm. towards non-resident non-banking institutions	190,1	12,8	202,9
3.	Other	9,1	25,7	34,7
Long-term foreign liabilities		748,7	280,5	1.048,0
1.	Commitments towards non-resident banks	40,0	0,3	40,3
2.	Commitm. towards non-resident non-banking institutions	707,9	280,2	1.006,9
3.	Other	0,8	-	0,8
TOTAL LIABILITIES		4.363,5	991,1	5.377,7

* data on commercial banks in Brčko District are included

Data source: BiH commercial banks

The total assets of banks amount to KM 5,378 million, out of which domestic assets take 75%, and foreign currency assets take 25%. Important items in domestic assets are banks reserves (KM 872 million - maintained as reserve requirements and free part of current liquidity of banks), banks' claims on commercial enterprises based on approved short and long-term credits (KM 2,405 million) and claims based on credits approved to citizens (KM 704 million).

Within foreign exchange assets, which amount to KM 1,364 million, short-term foreign exchange assets take 98%, out of which cash in foreign currency is 23%, banks claims for funds deposited in their accounts with foreign banks are 21%, claims on non-resident non-banking institutions are 48% and other foreign exchange claims are 8 %.

The total liabilities of banks are in balance with the total assets (KM 5,378 million), out of which domestic liabilities take 75% and liabilities in foreign currency take 25%.

Important items in the structure of domestic liabilities, amounting to KM 4,051 million, are: sight deposits in domestic currency, in the amount of KM 1,016 million (of which deposits of commercial enterprises are KM 634 million), sight deposits in foreign currency, in the amount of KM 928 million (out of which citizens deposits are KM 550 million and deposits of commercial enterprises are KM 358 million), and time and savings deposits in foreign currency, in the amount of KM 907 million (of which citizens deposits are KM 715 million and deposits of commercial companies are KM 151 million).

The total capital of commercial banks in BiH, according to the data supplied by commercial banks, is KM 1,113 million, of which KM 764 million in banks in the Federation of BiH and KM 347 million in banks in Republika Srpska.

In domestic liabilities, "other items" show net amount with negative balance of accounts in the amount of KM 332 million. The above is the result of inter-banking relations.

Within foreign exchange liabilities, amounting to KM 1,326 million, the biggest part in the amount of KM 1,007 million is covered by: commitments under foreign long-term credits until 1992, commitments under foreign commercial credits and commitments under other long-term credits, commitments under long-term foreign exchange credits towards international financial institutions and commitments under long-term foreign exchange credits towards linked banks.

V ECONOMIC TRENDS

1. Gross Domestic Product

According to the data of Federal Institute of Statistics, gross domestic product (GDP), presented in the market prices, in the Federation of BiH in 2000 (the previous data) was KM 6,699 million, which is higher by 9,1% compared to the one recorded in 1999. GDP per capita in 2000 amounted to KM 2,392 i.e. USD 1,129.

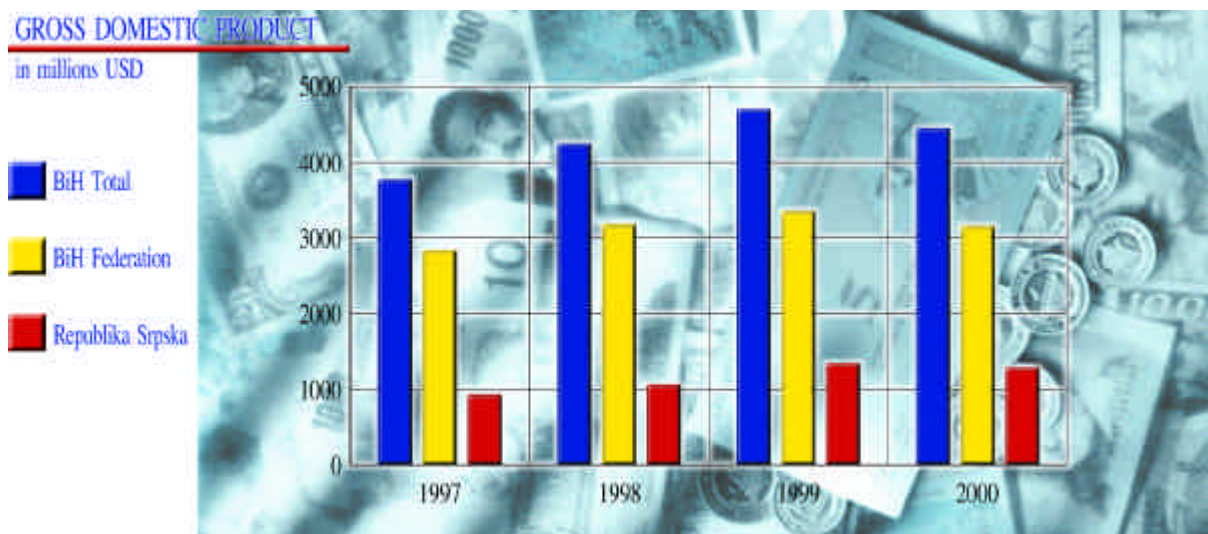
Gross Domestic Product in Republika Srpska in 2000 (corrected data) was KM 2,734 million, which is higher by 11% compared to the one recorded in 1999. GDP per capita was KM 1,861 i.e. USD 878 in 2000.

Realised Gross Domestic Product in BiH and that upon Entities is presented in the table below:

	Gross domestic product		GDP per capita		Population
	mil. KM	mil. USD	KM	USD	
<u>Federation BiH</u>					
1997.	4.943	2.840	1.774	1.019	2.790.000
1998.	5.602	3.183	2.000	1.136	2.801.000
1999.	6.142	3.356	2.187	1.195	2.808.000
2000. (previous data)	6.699	3.161	2.392	1.129	2.800.849
<u>Republika Srpska</u>					
1997.	1.619	932	1.148	661	1.409.835
1998.	1.837	1.062	1.285	743	1.428.798
1999. *	2.462	1.346	1.700	929	1.448.357
2000. (previous data)*	2.734	1.290	1.861	878	1.469.182
<u>TOTAL BiH</u>					
1997.	6.562	3.773	1.562	898	4.199.835
1998.	7.439	4.245	1.759	1.003	4.229.798
1999.	8.604	4.702	2.022	1.105	4.256.357
2000. (previous data)	9.433	4.451	2.209	1.042	4.270.031

* Corrected
data

Sources: Federal Institute of Statistics of FBiH and the Republic Institute for the Statistics of RS



2. Industrial Production

In 2001, the industrial production in both entities has been monitored by the same methodology.

Compared to the average of 2000, the industrial production in the Federation of BiH increased by 12,2% in 2001. Compared to the average production recorded in 2000, the highest increase of production was recorded in light industry, which was to a great extent the result of the high increase in food and beverages production and production of products made of metals, except for machines and equipment.

In Republika Srpska, the industrial production decreased by 12,9% compared to the average production in 2000. This was a result of the reduced volume of production in light industry. Within light industry, the largest decrease was recorded in the production of non-ferrous metals, chemicals and chemical products, processing and production based on wood and cork and production of coke and oil derivatives.

3. Export and import of goods

In 2001, the value of goods exported from Bosnia and Herzegovina* amounted to KM 2,370 million, which is an increase of 5% compared to the previous year. Out of the total value of exports, the exports from Federation of BiH amounted to 73,7%, the exports from Republika Srpska amounted to 25,3% and exports from Brcko District amounted to 1,0%. Over the same period, the value of imported goods amounted to KM 7,062 million, which is 7% more than the import recorded in 2000. Out of the total of imports, imports in Federation of BiH amounted to 72,4%, imports in Republika Srpska amounted to 24,0% and imports in Brcko District amounted to 3,6%. So, the deficit of foreign trade goods transactions of Bosnia and Herzegovina amounted to KM 4,692 million in 2001, which is higher by 9% compared to the previous year, the percentage of coverage of import by export being 33,6%.

* Sources of data:

Federal Statistic Bureau of the Federation of BiH (temporary data for FBiH)

Republic Statistic Bureau of Republika Srpska (data for RS)

Customs Administration of Republika Srpska (data for Brcko District)

Bosnia and Herzegovina - foreign trade transactions

in millions KM

DESCRIPTION	1998	1999	2000	2001	Index '00/'99	Index '01/'00
Export of goods	1.043	1.375	2.265	2.370	165	105
Import of goods	5.120	6.048	6.582	7.062	109	107
Balance of export and import of goods	-4.077	-4.673	-4.317	-4.692		
% of coverage of import by export	20,4	22,7	34,4	33,6		

Bosnia and Herzegovina Federation- foreign trade transactions

in millions KM

DESCRIPTION	1998	1999	2000	2001	Index '00/'99	Index '01/'00
Export of goods	619	950	1.430	1.747	151	122
Import of goods	3.728	4.459	4.852	5.114	109	105
Balance of export and import of goods	-3.109	-3.509	-3.422	-3.367		
% of coverage of import by export	16,6	21,3	29,5	34,2		

Republika Srpska- foreign trade transactions

in millions KM

DESCRIPTION	1998	1999	2000	2001	Index '00/'99	Index '01/'00
Export of goods	424	425	835	599	196	72
Import of goods	1.392	1.589	1.730	1.697	109	98
Balance of export and import of goods	-968	-1.164	-895	-1.098		
% of coverage of import by export	30,5	26,7	48,3	35,3		

Survey of import and export of goods in BH (including the District Brcko) is given as follows:

EXPORT OF GOODS

in millions KM

1998

1999

2000

2001



IMPORT OF GOODS

in millions KM

1998

1999

2000

2001



Given the countries of destination/origin, out of the total of goods exported from Bosnia and Herzegovina in 2001, the highest exports were to Italy (21,7%), to FR Yugoslavia (19,3%) and Germany (13,8%). Over the same period, the highest imports were from Croatia (15,2%), from Italy (13,2%), and from Slovenia (13,0%).

BiH - export and import of goods by countries of destination/origin in 2001

in thousands of KM

Country	EXPORT			IMPORT			Balance
	Amount	Shares in %	Index 01/00	Amount	Shares in %	Index 01/00	Amount
1	2	3	4	5	6	7	8=2-5
TOTAL	2.370.013	100,0	105	7.062.382	100,0	107	-4.692.369
Italy	515.136	21,7	100	929.991	13,2	132	-414.855
FR Yugoslavia	456.833	19,3	98	521.050	7,4	119	-64.217
Germany	326.918	13,8	125	735.596	10,4	91	-408.678
Croatia	234.006	9,9	135	1.075.698	15,2	113	-841.692
Switzerland	228.650	9,6	80	206.462	2,9	149	22.188
Slovenia	170.476	7,2	113	917.001	13,0	92	-746.525
Austria	80.546	3,4	109	397.479	5,6	108	-316.933
France	21.659	0,9	126	94.051	1,3	71	-72.392
Hungary	9.485	0,4	120	405.272	5,8	132	-395.787
Other	326.304	13,8	104	1.779.782	25,2	103	-1.453.478

4. Retail prices, inflation and costs of living

In the Federation of BiH, retail prices increased by 1,7% in 2001 compared to the average retail prices in 2000. During the first nine months, retail prices had a slow downward trend, and started to increase in September. The structure of retail prices recorded increase of prices of all products and services, except for the prices of agricultural products, which decreased by 1,6% compared to 2000.

The retail prices in Republika Srpska recorded an increase by 6,5% in 2001 compared to 2000. The highest increase was recorded in June and October. The structure of retail prices recorded the highest increase with the prices of services (18,2%) and agricultural products (12,7%). During the year, the biggest oscillations were recorded with prices of agricultural products, which had an upward tendency in the first half of the year, and they had a downward tendency in the second half of the year.

Inflation, measured by retail price growth rate over the current year compared to December of the previous year, had different trends in the entities until December, when in both entities it recorded increase.

Inflation in the Federation of BiH had a slow upward trend in the first quarter of 2001. It was negative from March until December, when it amounted to 0,3%. In Republika Srpska, inflation was negative in the first five months, and had upward tendency from June to amount to 2,2,% in December.

In the Federation of BiH, the total living costs in 2001 were higher by 2,1% compared to the average in 2000, resulting from the increased costs of all products and services, except for hygiene and health care costs.

The total costs of living in Republika Srpska during 2001 increased by 5,9% compared to the average living costs in 2000, which was mostly the result of the increased traffic and communications costs.

5. Employment

The number of employees in the Federation of BiH decreased during 2001 by 1,4%. So, there were 405,689 employed persons in the end of the year. The decrease in the number of employees resulted from excluding the employees in Brcko District and solving the status of a part of employees on stand-by.

In 2001, the number of the unemployed increased by 2,8%, so 269,004 unemployed persons were registered with the Employment Bureau of FBiH in the end of December. With respect to the qualification structure, the largest number of persons looking for a job were unskilled workers (35,9%) and skilled workers (34,6%). The unemployment rate was 39,9% in December.

In the end of the year, 192,727 persons were employed in Republika Srpska (data from September 2001).

In 2001, the number of the unemployed decreased by 3,6%, so 147,749 persons looking for a job were registered with the Employment Bureau of Republika Srpska in the end of December. The decrease in the number of the unemployed resulted from erasing from records some persons due to their unregistered employment and due to other reasons. The highest number of persons looking for a job accounts for skilled workers (37,7%) and unskilled workers (29,5%). Unemployment rate in December was 40,0%.

6. Net wages

In 2001, the average net wages in both entities are presented according to the new methodology, based on the Classification of Activities.

The average net wage in the Federation of BiH increased in 2001, so it amounted to KM 458 in December. This was the increase of 10,9% compared to the average net wage paid in 2000, and the increase of 7,8% compared to that in December 2000.

Given the branches, the lowest net wages in December were paid in retail and wholesale trade (KM 322) and the highest net wages were paid by financial mediation sector (KM 924).

The average net wage in Republika Srpska increased in 2001, so it amounted to KM 332 in December. This was the increase of 21,1% compared to the average net wage paid in 2000.

The net wages paid in December were lowest in the catering sector (KM 224) and highest in state administration and defence and social insurance sector (KM 514).

VI CONCLUSIONS

During 2001, the Central Bank of Bosnia and Herzegovina operated with great success, as it is fully confirmed by the following results:

1. The currency board principle has been strictly applied. The stability of the local currency has been maintained continuously. The balance of net foreign assets exceeds its monetary liabilities in Konvertible Marks by KM 75 million.
2. Investment of foreign exchange reserves was performed under strict control and with constant monitoring, analyses and the obeying of the defined guidelines. Interest rates at the world money market, trends of exchange rates and ratings of correspondent banks with which the funds had been invested were constantly observed. On 31 December 2001, foreign exchange reserves of the Central Bank of Bosnia and Herzegovina amounted to KM 2,697 million. In the end of September, foreign exchange reserves amounted to around KM 1,235 million, which means that the foreign exchange reserves increased by KM 1,462 million in the last quarter. These foreign exchange reserves had already existed in BiH, but they were not in the banking system..
3. The payment system reform was successfully implemented in 2001. There are 42 banks in the payment system currently. The total number of transactions performed in the period from 05 January to 31 December 2001 was 11,916,222 million of transactions, and their total value amounted to KM 16,845 million. Settlement is carried out three times a day.
4. The inclusion of Bosnia and Herzegovina into the international financial statistics is a positive success, which resulted from the cooperation of BiH commercial banks, International Monetary Fund and the Central Bank of BiH.

*Financial
Statements*

**VII FINANCIAL STATEMENTS OF CENTRAL BANK
OF BOSNIA AND HERAZGOVINA**

Central Bank of Bosnia and Herzegovina

**FINANCIAL STATEMENTS
as of 31 December 2001**

1. Balance Sheet
as at December 31, 2001

(in KM)

ASSETS	Notes	12/31/2001	12/31/2000
Foreign assets		2.696.529.874	1.021.357.745
Short-term deposits with foreign banks	1	1.891.638.463	983.241.828
Foreign currency in cash	2	804.891.411	38.115.917
Domestic Assets		1.282.670	4.819.398
Giro accounts	3	1.282.670	4.819.398
Position of the Government in the IMF	4	770.481.654	769.141.366
Other assets	5	39.450.037	6.841.977
Fixed assets	6	18.969.398	12.508.884
TOTAL ASSETS		<u>3.526.713.633</u>	<u>1.814.669.370</u>

The financial statements on pages 34 to 38 have been approved by the Bank and signed on its behalf by:

Peter Nicholl
Governor

Sarajevo,
March, 27 2002

The accompanying notes are an integral part of these financial statements.

Balance Sheet
as at December 31, 2001

(in KM)

LIABILITIES	Notes	12/31/2001	12/31/2000
Convertible Marka in circulation	7	1.805.962.219	695.887.615
Domestic deposits		785.618.950	277.319.245
From banks	8	734.670.600	261.900.528
From the Government and other Residents	9	50.948.350	15.418.717
Liabilities of the Government to the IMF	10	770.481.654	769.141.366
Deferred income	11	11.056.809	12.945.533
Other liabilities	12	32.104.524	885.866
Capital and reserves	13	121.489.477	58.489.745
Subscribed capital	14	25.000.000	25.000.000
Capital from profit	15	65.924.298	23.660.343
Capital in shares	16	26.565.179	134.058
Reserves from grants	17	4.000.000	4.000.000
Reserves from profit	18	0	5.695.344
TOTAL LIABILITIES AND CAPITAL		<u>3.526.713.633</u>	<u>1.814.669.370</u>
MEMORANDUM ITEMS			
Third party funds held with foreign banks	19	320.594.695	339.210.820
Liability for third party funds	19	320.594.695	339.210.820

The financial statements on pages 34 to 38 have been approved by the Bank and signed on its behalf by:

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Governor

Sarajevo,
March, 27 2002

The accompanying notes are an integral part of these financial statements.

2. Profit and Loss Statement for the year ending December 31, 2001

(in KM)

	Notes	01/01 - 12/31/2001	01/01 - 12/31/2000
INTEREST INCOME		50.106.675	36.288.475
Foreign operations		50.106.675	36.288.475
Interest on bank deposits and securities	20	50.106.675	36.288.475
INTEREST EXPENSE		2.022.251	2.929.391
Domestic operations		2.022.251	2.929.391
Interest on deposits	21	2.022.251	2.929.391
NET INTEREST INCOME		48.084.424	33.359.084
Net income from foreign exchange differences	22	189.748	250.883
Income from grants	23	3.362.721	245.274
Other income	24	4.889.005	2.297.508
OPERATING INCOME		56.525.898	36.152.749
OPERATING EXPENSE			
Salaries and other personnel expenses		8.152.195	5.478.557
Administrative expenses		8.572.826	4.136.228
Depreciation		2.331.857	297.734
Other operating expenses	25	900.409	1.410.350
Total operating expenses		19.957.287	11.322.869
NET PROFIT BEFORE APPROPRIATION		<u>36.568.611</u>	<u>24.829.880</u>

The financial statements on pages 34 to 38 have been approved by the Bank and signed on its behalf by:

Peter Nicholl
Governor

Sarajevo,
March, 27 2002

The accompanying notes are an integral part of these financial statements.

Statement of Cash Flows
for the year ending December 31, 2001

(in KM)

	Notes	01/01 - 31/12/2001	01/01 - 31/12/2000
NET CASH FLOWS FROM OPERATING ACTIVITIES:			
Profit for the year		36.568.611	24.829.880
Depreciation		2.331.857	297.734
Increase / decrease in foreign investments	26	(484.013.062)	98.753.116
Increase in other assets		(32.608.060)	(4.552.421)
Increase in Convertible Marka in circulation		1.110.074.604	157.531.377
Increase / decrease in other deposits	27	508.299.705	(20.988.043)
Decrease of deferred income		(1.888.724)	11.380.606
Increase in other liabilities		31.218.658	192.488
Net cash flows from operating activities		1.169.983.589	267.444.737
CASH FLOWS FROM INVESTING ACTIVITIES:			
Increase of fixed assets, net	28	(8.792.371)	(8.774.447)
Net cash flows from investing activities		(8.792.371)	(8.774.447)
CASH FLOWS FROM FINANCING ACTIVITIES:			
Increase in capital in shares		26.431.121	4.361
Net cash flows from financing activities		26.431.121	4.361
Net increase in cash and cash equivalents	29	1.187.622.339	258.674.651
Cash and cash equivalents at the beginning of the year	30	941.970.038	683.295.387
Cash and cash equivalents at the end of the year	31	2.129.592.377	941.970.038

Changes in Equity
for the year ending December 31, 2001

(in KM)

	Subscribed capital	Capital from profit	Capital in shares	Reserves from grants	Reserves from profit	Total
As of 31 December 2000	25.000.000	23.660.343	134.058	4.000.000	5.695.344	58.489.745
Transfer from reserves to capital		5.695.344			(5.695.344)	0
Profit for the year 2001		36.568.611				36.568.611
Capital in shares			26.431.121			26.431.121
As of 31 December 2001	25.000.000	65.924.298	26.565.179	4.000.000	0	121.489.477

3. Notes to the Financial Statements

for the year ending December 31, 2001

Form of presentation of financial statements

The Central Bank of Bosnia and Herzegovina financial statements have been prepared in accordance with the Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina and the Law on Internal Payment Operations, and in accordance with International Accounting Standards.

The Financial Statements have been prepared in accordance with the historical cost basis of accounting modified for revaluation as disclosed below. A summary of the principal accounting policies is set out below.

Reporting Currency

The accompanying Financial Statements are reported in the official national currency of Bosnia and Herzegovina - Convertible Marka (KM).

The official exchange rate to German Mark (DEM) has been defined by the Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina as 1 KM :1 DEM. The Central Bank of Bosnia and Herzegovina is required by the Law to purchase and sell without restrictions KM on demand for DEM within the territory of Bosnia and Herzegovina at the exchange rate defined as one to one.

As of 1 January 2002 the EUR was introduced, and the Central Bank of Bosnia and Herzegovina has defined fixed rate between 1 KM :1 EUR as 1.95583 KM = 1 EUR.

Currency Board Rule

The Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina requires that the aggregate amount of its monetary liabilities shall at no time exceed the equivalent of its net foreign exchange reserves. Details of compliance with the rule are as follows:

(in KM)

	31/12/2001.	31/12/2000.
Foreign assets	2.696.529.874	1.021.357.745
Less Liabilities to non residents	29.963.812	200.000
Net foreign exchange reserves	2.666.566.062	1.021.157.745
Monetary liabilities	2.591.581.169	973.206.860
Net foreign assets (Net foreign exchange reserves minus monetary liabilities)	74.984.893	47.950.885

Grants

Grants related to assets, including non-monetary grants, are recorded at nominal value by setting up the grant as deferred income, which is recognized as income proportionately to expenses already incurred (including depreciation over useful life of the asset).

Number of employees

As per 31 December 2001, the Bank had 241 employees (31 December 2000: 194 employees).

Fixed Assets

Fixed assets are recorded at historical cost less accumulated depreciation. Depreciation is calculated using the straight-line method. The following depreciation rates have been applied:

Computer equipment	20,0%
Software	20,0%
Transport vehicles	15,5%
Switchboard	20,0%
Buildings	1,3%
Other buildings	3,5%
Other fixed assets	10,0% - 16,5%

Interest Income and Expense Recognition

Interest income and expenses are recognized on an accrual basis.

Taxes

The Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina exempts the Central Bank of Bosnia and Herzegovina, its assets, property and income, and its operations and transactions, from all taxes and duties. Payroll taxes and other taxes on salaries are not covered by this exemption.

Foreign Currency Translation

Transactions denominated in foreign currencies have been translated to KM at exchange rates applying on the trade date of transactions. Assets and liabilities denominated in foreign currencies are translated into KM at foreign exchange rates applying at the balance sheet date. Gains and losses on translation are credited or charged to the profit and loss account.

Notes to the balance sheet, profit and loss statement**1) Short-term Deposits with Foreign Banks**

This balance represents short-term deposits with foreign commercial banks as follows:

(in KM)

No.	Description	Currency	Term deposits	Sight deposits	Total
1.	WESTDEUTSCHE LANDESBANK				
		EUR	386.144.914	62	
	Total		386.144.914	62	386.144.976
2.	DEUTSCHE BANK AG				
		USD		3.428.350	
		EUR	381.608.198	22.506.416	
	Total		381.608.198	25.934.766	407.542.964
3.	DRESDNER BANK AG				
		EUR	173.224.096	3.538.159	
	Total		173.224.096	3.538.159	176.762.255
4.	BANK FOR INTERNATIONAL SETTLEMENT				
		EUR	143.179.287		
		CHF		519.583	
	Total		143.179.287	519.583	143.698.870
5.	RAIFFEISEN ZENTRALBANK				
		EUR	4.431.641	51.148	
	Total		4.431.641	51.148	4.482.789
6.	BANK AUSTRIA				
		EUR	110.591	199	
	Total		110.591	199	110.790
7.	RABO-BANK LONDON				
		EUR	148.535.549		
	Total		148.535.549		148.535.549
8.	BARCLAYS BANK LONDON				
		EUR	223.960.220	792	
	Total		223.960.220	792	223.961.012
9.	NATIONAL AUSTRALIA BANK LONDON				
		EUR	261.347.292		
	Total		261.347.292		261.347.292
10.	DEXIA BANK BRUSSELES				
		EUR	138.967.545		
	Total		138.967.545		138.967.545
11.	OTHER BANKS				
		USD		13.720	
		EUR		70.701	
	Total			84.421	84.421
TOTAL			1.861.509.333	30.129.130	1.891.638.463

(in KM)

	Currency	31/12/2001.		31/12/2000.	
		Term deposits	Sight deposits	Term deposits	Sight deposits
TOTAL PER CURRENCIES	DEM	-	-	104.975	6.493.315
	USD	-	3.442.070	-	3.274.151
	EUR	1.861.509.333	26.167.477	930.939.182	42.406.221
	CHF	-	519.583	-	23.984
TOTAL		1.861.509.333	30.129.130	931.044.157	52.197.671

This balance represents term deposits with foreign commercial banks based on maturity date:

Maturity	(in KM)	
	31/12/2001.	31/12/2000.
Up to 1 month	865.820.064	572.767.311
From 1 to 2 months	259.441.458	185.975.392
From 2 to 3 months	168.027.644	88.094.349
From 3 to 4 months	73.669.759	64.266.561
From 4 to 12 months	494.550.408	19.940.544
TOTAL	1.861.509.333	931.044.157

The interest rates on sight deposits were from 2.50 % to 5.00 % during the year 2001. The interest rates on term deposits were from 3.10 % to 4.90 % during the year 2001.

2) Foreign currency in cash

Foreign currency in cash consists of:

	(in KM)	
	31/12/2001	31/12/2000
Cash in the CBBH	623.703.389	38.115.917
Cash in transit	181.188.022	0
TOTAL	804.891.411	38.115.917

The proportion of foreign reserves held in cash was very high at 31 December 2001 because of the large amounts of DEM cash converted in the latter of December 2001.

3) Domestic Assets

Giro accounts represents balances held by the Central Bank of Bosnia and Herzegovina at organizational units of the CBBH to facilitate KM payments.

4) Position of the Government in the IMF

Position of the Government in the IMF reflects claims of the Government arising from the financial arrangement with the IMF and consists of:

	(in KM)	
	31/12/2001	31/12/2000
Quota	467.907.817	480.244.845
IMF SDR Holdings	13.461.207	23.227.813
Accrued interest on SDR Holdings	70.454	16.432
Government - IMF Transactions	289.042.176	265.652.276
TOTAL	770.481.654	769.141.366

5) Other assets

Other assets consist of:

(in KM)

	31/12/2001	31/12/2000
Net claims against foreign banks for accrued interest on term deposits	11.865.165	6.174.264
Shares in BIS bank and SWIFT	26.568.142	137.021
Accruals	27.452	32.437
Miscellaneous other assets	989.278	498.255
TOTAL	39.450.037	6.841.977

6) Fixed Assets

Fixed assets include:

(in KM)

	Software and other intangible assets	Land and buildings	Equipment and furniture	Vehicles	Advance payments	Other	Assets under construction	TOTAL
Net value as of 31/12/2000	145.761	1.910.601	1.609.931	432.377	557.144	75.958	7.777.112	12.508.884
Additions	7.481.076	14.946	4.294.230	597.341	1.857.263	86.356	(5.093.103)	9.238.109
Disposals, sales and transfers	0	0	(3.905)	(122.355)	(1.549)	0	(372.674)	(500.483)
	7.626.837	1.925.547	5.900.256	907.363	2.412.858	162.314	2.311.335	21.246.510
Depreciation for 2001	1.375.374	25.022	823.883	97.659	0	9.919	0	2.331.857
Depreciation on disposals and sales	0	0	(360)	(54.385)	0	0	0	(54.745)
Net value as of 31/12/2001	6.251.463	1.900.525	5.076.733	864.089	2.412.858	152.395	2.311.335	18.969.398

Additions in assets under construction are net position (additions 2001 reduced by transfers to other fixed assets positions).

7) Convertible Marka in Circulation

This item represents currency placed into circulation as follows:

KM

Convertible Marka currency placed into circulation - at December 31, 2000	695.887.615
Convertible Marka currency placed into circulation during the year 2001	1.110.074.604
Convertible Marka currency placed into circulation - total - at December 31, 2001	1.805.962.219

Convertible Marka currency placed into circulation in Bosnia and Herzegovina and abroad:

KM

Convertible Marka currency placed into circulation in Bosnia and Herzegovina - at December 31, 2001	1.805.906.408
Convertible Marka currency placed into circulation abroad - at December 31, 2001	55.811

8) Domestic Deposits from Banks

This balance includes mainly deposits (KM 721,858,541) of 53 domestic commercial banks to meet obligatory reserve requirements, to settle payment obligations and for transactions between the commercial banks and the Central Bank of Bosnia and Herzegovina. This balance also includes reserve accounts of organizational units of the Central Bank of Bosnia and Herzegovina and other liabilities to banks for deposits received.

	(in KM)	
	31/12/2001	31/12/2000
Deposits of domestic commercial banks	721.858.541	238.353.068
Reserve accounts of organizational units of the Central Bank of Bosnia and Herzegovina	1.282.670	4.819.398
Reserve account of the National Bank of Bosnia and Herzegovina under liquidation	0	712.619
Non included banks giro accounts held up in the Payment Bureaus which are subsequently included in deposits of banks	0	5.385.392
Liabilities for Convertible Marka cash which are subsequently placed into circulation on basis giro accounts in the Payment Bureaus	0	10.327.456
Other liabilities to banks on basis deposits	11.529.389	1.373.097
Unidentified liabilities, which came up after closing of the Payment Bureaus	0	929.498
TOTAL	734.670.600	261.900.528

Interest on deposits of domestic commercial banks is accrued according to the Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina, and interest rate for the year 2001 was from 3.25 % to 5.00 %.

9) Domestic Deposits from the Government and other residents

Domestic Deposits from the Government and other residents include the following items:

	(in KM)	
	31/12/2001	31/12/2000
Deposits for servicing foreign debts of BiH	0	6.643.668
Deposits for Budget of Institutions BiH	59.109	3.626.099
Other deposits of the Government	48.654.137	105.898
Deposits of other residents	2.235.104	5.043.052
TOTAL	50.948.350	15.418.717

10) Liabilities of the Government to the IMF

Liabilities of the Government to the IMF reflect liabilities of the Government arising from the financial arrangement with the IMF and consist of:

(in KM)

	31/12/2001	31/12/2000
Securities	711.203.567	707.465.835
IMF Account No. 1	1.200.611	1.200.612
IMF Account No. 2	13.722	14.084
SDR Allocation	56.672.607	58.166.858
Accounts Payable Charges	1.173.026	1.834.189
Accrued SDR Interest on SDR Allocation	218.121	459.788
TOTAL	770.481.654	769.141.366

11) Deferred Income

This balance represents grants received in cash and fixed assets, income from which is recognized on a systematic and rational basis over the period of using grants.

12) Other liabilities

Other liabilities include the following items:

(in KM)

	31/12/2001	31/12/2000
Liabilities towards foreign banks based on received EUR cash	29.337.450	0
Other liabilities towards foreign banks	978	0
KM deposit of the UN mission	625.384	200.000
Suppliers	737.731	153.102
Accrued expenses and other liabilities	794.889	352.699
Liabilities to employees	608.092	180.065
TOTAL	32.104.524	885.866

13) Capital and Reserves

The ratio between capital and reserves and monetary liabilities comprising Convertible Marka in circulation and domestic deposits, at the end of December 2001 was 4.69%.

14) Nominal Capital

Nominal capital was subscribed in the amount of KM 25,000,000 by the Government of Bosnia and Herzegovina on June 12, 1998 and it was invested in EUR deposit accounts with commercial banks in Germany.

15) Capital from profit

Capital from profit represents net profit for the year 1997 (KM 448,793), net profit for the year 1998 (KM 84,264), net profit for the year 1999 (KM 3,992,750), part of net profit for the year 2000 (KM 19,134,536), part of net profit for the year 2000 (KM 5,695,344) transferred from reserves and net profit for the year 2001 (KM 36,568,611) allocated to capital in accordance with Article 27 Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina. Article 27 determines that net profit for the year must be allocated to the capital if the amount of capital is lower than 5% of total of monetary liabilities.

16) Capital in shares

This amount equals the Bank's shares in BIS bank.

17) Reserves from grants

Reserves from grants are donations from the IMF through BiH institutions, and they have not been spent (KM 4,000,000).

18) Reserves from profit

Reserves from profit for the year 2000 represent part of net profit for the year 2000 (KM 5,695,344) allocated to reserves in accordance with Article 27 Law of Bosnia and Herzegovina on the Central Bank of Bosnia and Herzegovina.

19) Memorandum items

The Central Bank of Bosnia and Herzegovina also maintains certain accounts in foreign currencies in terms of agreements entered into among the Government of Bosnia and Herzegovina and foreign governments and financial organizations. As these accounts do not appear to be either assets or liabilities of The Central Bank of Bosnia and Herzegovina, they have not been included in the Bank's balance sheet.

Also, memorandum items include foreign currency deposits of the state institutions and agencies for which the Banks acts as an agent.

Memorandum items consist of:

(in KM)

	31/12/2001	31/12/2000
Third party funds held with foreign banks	320.594.695	339.210.820
Liability for third party funds	320.594.695	339.210.820
Deposits of Non-residents	148.439.719	321.783.749
Deposits of USAID	148.141.755	321.584.023
Deposits of other Non-residents	297.964	199.726
Deposits of Residents	172.154.976	17.427.071
Deposits of Central Government BH	143.958.492	3.593.333
Deposits of Central Government BH on the basis of succession	127.234.363	0
Deposits of Central Government BH - Servicing foreign debt BH	133.062	0
Deposits of Central Government BH - Budget of BH Institutions	10.150.680	0
Other Deposits of Central Government BH	6.440.387	3.593.333
Deposits of other Residents	28.196.484	13.833.738
Deposits - Deposit Insurance Agency of Federation BH	22.638.168	10.728.647
Deposits - Banking Agency of Federation BH	19	0
Deposits - Retiring allowance from Germany	5.558.297	3.105.091

20) Interest on bank deposits and securities

Interest on bank deposits and securities include the following items:

(in KM)

	31/12/2001	31/12/2000
Interest on deposits of the Central Bank of Bosnia and Herzegovina	49.605.777	34.655.877
Interest on deposits of other non-bank residents	3.125	1.628.107
Interest on securities of the Central Bank of Bosnia and Herzegovinae	497.773	4.491
TOTAL	50.106.675	36.288.475

21) Interest Expense on Deposits

Interest expense on deposits include the following items:

(in KM)

	31/12/2001	31/12/2000
Interest expense on the basis of deposits of commercial banks	2.019.126	1.301.284
Interest expense on the basis of deposits of other non-bank residents	3.125	1.628.107
TOTAL	2.022.251	2.929.391

22) Net income from foreign exchange differences

Net income from foreign exchange differences include the following items:

(in KM)

	31/12/2001	31/12/2000
Income from foreign exchange differences	3.899.009	731.065
Expenses from foreign exchange differences	3.709.261	480.182
TOTAL	189.748	250.883

23) Income from Grants

This balance represents income recognized on grants received as compensation for expenses incurred in 2001.

24) Other Income

Other income include the following items:

(in KM)

	31/12/2001	31/12/2000
Commission expenses	2.792	58.666
Operating expenses with foreign banks	863.777	391.101
Expenses for production and design of banknotes and coins	2.740	941.959
Miscellaneous operating expenses	31.100	18.624
TOTAL	900.409	1.410.350

25) Other operating expenses

Other operating expenses include the following items:

(in KM)

	31/12/2001	31/12/2000
Commission expenses	2.792	58.666
Operating expenses with foreign banks	863.777	391.101
Expenses for production and design of banknotes and coins	2.740	941.959
Miscellaneous operating expenses	31.100	18.624
TOTAL	900.409	1.410.350

Cash Flows Statement - Notes**26) Increase / decrease in Foreign Investments**

Item refers to increase in value of short-term deposits with maturity over 3 months with foreign banks.

27) Increase / decrease in other Deposits

Item stands for increase in value of total domestic deposits as part of monetary liabilities.

28) Increase of Fixed Assets

The item reflects increase in value of total fixed assets deducting depreciation charged.

29) Net Increase in Cash and Cash Equivalents

Item represents summary of net cash flows from operation activities, net cash flows from investment activities and net cash flows from financial activities.

30) Cash and Cash Equivalents at the beginning of the year

Item is total amount of cash in foreign currency and KM at the beginning of the year.

31) Cash and Cash Equivalents at the end of the year

For the cash flow purposes, cash and cash equivalents consist of:

	(in KM)	
	31/12/2001	31/12/2000
KM cash held at organizational units of the CBBH	1.282.670	4.819.398
Foreign currency in cash	804.891.411	38.115.917
Foreign currency sight deposits	30.129.130	52.197.671
Foreign currency deposits with maturity under 3 months	1.293.289.166	846.837.052
TOTAL	2.129.592.377	941.970.038

Other notes

32) Related Party and other Disclosures

There were no related-party transactions with members of the Governing Board as well as with other management members.

33) Segment Reporting

The Central Bank of Bosnia and Herzegovina operates as a central bank under a currency board arrangement. Its domestic operations are in Bosnia and Herzegovina and foreign investment activities are predominantly carried out in Europe.

34) Performance of clearing and distribution of Convertible Marka

Until December 31, 2000 the Payment Bureaus performed KM clearing for local commercial banks with settlement of these clearings occurring through reserve accounts maintained by commercial banks at the Central Bank of Bosnia and Herzegovina. Until December 31, 2000 the Payment Bureaus also distributed KM currency, throughout the country acting as an agent of the Central Bank of Bosnia and Herzegovina.

Since January 5, 2001 the KM clearing for local commercial banks has been carried out through the RTGS (Real Time Gross Settlement) and (Bulk) Gyro Clearing systems within the Central Bank of Bosnia and Herzegovina; through reserve accounts of commercial banks opened with the Central Bank of Bosnia and Herzegovina. Also, since January 5, 2001 distribution of KM for the whole country has been done through separate vaults of the organisational units and branches of the Central Bank of Bosnia and Herzegovina.

Domestic payments are executed by the licensed commercial banks, participants of the interbank clearing system.

35) Net currency exposure

(in KM)

* EUR currency
includes EUR
and other EMU
currencies

	EUR*	USD	Other foreign currencies	KM	TOTAL
ASSETS					
Foreign assets	2.690.611.712	3.906.422	2.011.740	0	2.696.529.874
Short-term deposits with foreign banks	1.887.676.809	3.442.071	519.583	0	1.891.638.463
Foreign currency in cash	802.934.903	464.351	1.492.157	0	804.891.411
Domestic Assets	0	0	0	1.282.670	1.282.670
Giro accounts	0	0	0	1.282.670	1.282.670
Position of the Government in the IMF	0	0	770.481.654	0	770.481.654
Other assets	12.077.413	26.565.401	0	807.223	39.450.037
Fixed assets	616.960	0	0	18.352.438	18.969.398
TOTAL ASSETS	2.703.306.085	30.471.823	772.493.394	20.442.331	3.526.713.633
LIABILITIES					
Convertible Marka in circulation	0	0	0	1.805.962.219	1.805.962.219
Domestic deposits	10.135.607	592.791	1.477.076	773.413.476	785.618.950
From banks	9.620.869	431.444	1.477.076	723.141.211	734.670.600
From the Government and other Residents	514.738	161.347	0	50.272.265	50.948.350
Liabilities of the Government to the IMF	0	0	770.481.654	0	770.481.654
Deferred income	0	0	0	11.056.809	11.056.809
Other liabilities	30.360.901	0	0	1.743.623	32.104.524
Capital and reserves	29.000.000	26.565.179	0	65.924.298	121.489.477
Subscribed capital	25.000.000	0	0	0	25.000.000
Capital from profit	0	0	0	65.924.298	65.924.298
Capital in shares	0	26.565.179	0	0	26.565.179
Reserves from grants	4.000.000	0	0	0	4.000.000
Reserves from profit	0	0	0	0	0
TOTAL LIABILITIES AND CAPITAL	69.496.508	27.157.970	771.958.730	2.658.100.425	3.526.713.633
NET CURRENCY EXPOSURE	2.633.809.577	3.313.853	534.664	(2.637.658.094)	0

36) Maturity analysis

(in KM)

	Up to 3 months	From 3 to 12 months	From 1 to 3 years	Over 3 years	Undefined Maturity	TOTAL
ASSETS						
Foreign assets	2.128.309.707	568.220.167	0	0	0	2.696.529.874
Short-term deposits with foreign banks	1.323.418.296	568.220.167	0	0	0	1.891.638.463
Foreign currency in cash	804.891.411	0	0	0	0	804.891.411
Domestic Assets	1.282.670	0	0	0	0	1.282.670
Giro accounts	1.282.670	0	0	0	0	1.282.670
Position of the Government in the IMF	13.461.207	0	0	0	757.020.447	770.481.654
Other assets	11.610.472	1.243.971	0	0	26.595.594	39.450.037
Fixed assets	0	0	0	0	18.969.398	18.969.398
TOTAL ASSETS	2.154.664.056	569.464.138	0	0	802.585.439	3.526.713.633
LIABILITIES						
Convertible Marka in circulation	1.805.962.219	0	0	0	0	1.805.962.219
Domestic deposits	785.618.950	0	0	0	0	785.618.950
From banks	734.670.600	0	0	0	0	734.670.600
From the Government and other Residents	50.948.350	0	0	0	0	50.948.350
Liabilities of the Government to the IMF	2.387.359	0	0	0	768.094.295	770.481.654
Deferred income	0	0	0	0	11.056.809	11.056.809
Other liabilities	31.470.287	0	0	0	634.237	32.104.524
Capital and reserves	0	0	0	0	121.489.477	121.489.477
Subscribed capital	0	0	0	0	25.000.000	25.000.000
Capital from profit	0	0	0	0	65.924.298	65.924.298
Capital in shares	0	0	0	0	26.565.179	26.565.179
Reserves from grants	0	0	0	0	4.000.000	4.000.000
Reserves from profit	0	0	0	0	0	0
TOTAL LIABILITIES AND CAPITAL	2.625.438.815	0	0	0	901.274.818	3.526.713.633
NET POSITION	(470.774.759)	569.464.138	0	0	(98.689.379)	0

37) Fair value of Financial Assets and Liabilities

(in KM)

	Book value 31/12/2001	Fair value 31/12/2001
FINANCIAL ASSETS		
Foreign assets	2.696.529.874	2.696.529.874
Short-term deposits with foreign banks	1.891.638.463	1.891.638.463
Foreign currency in cash	804.891.411	804.891.411
Domestic Assets	1.282.670	1.282.670
Giro accounts	1.282.670	1.282.670
Position of the Government in the IMF	770.481.654	770.481.654
Other assets	39.323.053	39.323.053
FINANCIAL LIABILITIES		
Convertible Marka in circulation	1.805.962.219	1.805.962.219
Domestic deposits	785.618.950	785.618.950
From banks	734.670.600	734.670.600
From the Government and other residents	50.948.350	50.948.350
Liabilities of the Government to the IMF	770.481.654	770.481.654
Deferred income	11.056.809	11.056.809
Other liabilities	32.104.524	32.104.524

AUDITORS REPORT

Independent Auditors' Report

Audit of the Financial Statements
as of December 31, 2001

**Central Bank of Bosnia and
Herzegovina, Sarajevo**

 **ERNST & YOUNG**

AUDITORS REPORT

Independent Auditors' Report

Audit of the Financial Statements
as of December 31, 2001

**Central Bank of Bosnia and
Herzegovina, Sarajevo**

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AUDITORS REPORT

Central Bank of Bosnia and Herzegovina

December 31, 2001

INDEPENDENT AUDITORS' REPORT

To the Board of Governors of

Central Bank of Bosnia and Herzegovina

We have audited the accompanying balance sheet of Central Bank of Bosnia and Herzegovina (the "Bank") as of December 31, 2001 and 2000, and the related profit and loss statements, statements of cash flows and changes in equity for the years then ended. These financial statements are the responsibility of the Bank's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audits in accordance with International Standards on Auditing as defined by the International Federation of Accountants. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

 ERNST & YOUNG

AUDITORS REPORT

Central Bank of Bosnia and Herzegovina

December 31, 2001

In our opinion, the financial statements referred to in the first paragraph above present fairly, in all material respects, the financial position of the Bank as of December 31, 2001 and 2000, and the results of its operations and its cash flows for the years then ended in accordance with International Accounting Standards.

Without qualifying our opinion, we draw attention to the fact that the Bank has included assets and liabilities related to the IMF in its balance sheet, which belong to or are the responsibility of the Government rather than the Bank. Those assets and liabilities relate to financial arrangements agreed between Bosnia and Herzegovina and the IMF at the end of 1995.

Vienna, 27 March 2002

 **ERNST & YOUNG**
WIRTSCHAFTSPRÜFUNGSGES. UND
STEUERBERATUNGSGESELLSCHAFT MBH


ELISABETH GLASER
CERTIFIED PUBLIC ACCOUNTANT


FRIEDRICH O. HUP
CERTIFIED PUBLIC ACCOUNTANT

 **ERNST & YOUNG**

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Management
and
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Mr Jure Pelivan, Member
Mr Kasim Omičević, Member
Mr Manojlo Čorić, Member

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Mr Kemal Kozarić, Vice Governor
Mr Ljubiša Vladušić, Vice Governor

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Ms Amina Sofradžija, Comptroller General Deputy
Mr Anton Salapić, Comptroller General Deputy
Ms Milosija Drakulić, Comptroller General Deputy

*Senior
Staff*

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Ms Mirjana Jaćimović

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Republika Srpska, Manager

Mr Marko Radović

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